

An aerial photograph of a city in Costa Rica. A tall, modern building with many windows and balconies stands out on the right side. The rest of the city is a dense collection of smaller buildings with various roof colors. In the background, there are green mountains under a cloudy sky.

PAGERO

Country Compliance Report:

Costa Rica

Information class: Restricted



Country Compliance Report: Costa Rica

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.



1. Terminology

This section outlines general and country-specific terminology for Costa Rica, which will be used throughout the whole document.

Term	Explanation
AoR	Business response from the buyer to the supplier regarding the received document, which can be positive (acceptance) or negative (rejection), and must be issued after the validation of the received document with MH
ATV	The Web portal of the Ministry of Finance (Sp. <i>Administración Tributaria Virtual</i>) that can be used by small taxpayers
Clearance	Where traders are required to send their tax documents, such as invoices, to a predetermined, often, state-owned infrastructure. The infrastructure conducts mandatory checks before the documents are to be considered issued, however, the infrastructure generally offers no exchange to the receiving party
Clearance Response	Is the name of the application response from the clearing infrastructure notifying the issuer whether the e-document has been approved or rejected. The term is used by Pagero unless there is any country-specific term for this type of responses
Electronic Tax Documents	They correspond to all the electronic tax files, structured in XML format, authorized by the tax entity, which allow endorsing the purchase and sale of goods or the rendering of services. These documents have legal and tax value in Costa Rica (please see section 6.1). The original name for this is " <i>Comprobantes Electronicos</i> "
Cryptographic key	Cryptographic key of the Ministry of Finance of Costa Rica (es. Clave criptográfica del Ministerio de Hacienda de Costa Rica) is the security method that guarantees the integrity and authenticity of e-documents, and can be used as alternative to e-signature of e-seal
DIMEX	Migration and Foreigners Identification Document or DIMEX (Sp. <i>Documento de Identificación de Migración y Extranjería</i>) is the number that identifies foreigners legally established in Costa Rica. Follows the format 000000000000 or 0000000000000 (11 or 12 digits, without zero at the

	beginning or hyphens) [see also Legal person ID, Natural person ID and NITE]
ID number	Is the registration / tax ID in Costa Rica and includes two types of ID's - Legal person ID and Natural person ID
Legal person ID	Legal person ID (Sp. <i>Cédula de persona jurídica</i>) refers to the identification number of companies or non-physical entities, whether for profit or not. It has the format 0000000000 (10 digits, without zero at the beginning or hyphens) [see also DIMEX, Natural person ID and NITE]
Natural person ID	Natural person ID (Sp. <i>Cédula de persona física</i>) refers to the identification number that each Costa Rican possesses. It has the format 0 0000 0000 (9 digits, without zero at the beginning or hyphens) [see also DIMEX, Legal person ID and NITE]
NITE	Special Tax Identification Number or NITE (Sp. <i>Número de Identificación Tributario Especial</i>) is granted to those taxpayers not domiciled in the country. Follow the format 0000000000 (10 digits, without zero at the beginning or hyphens) [see also DIMEX, Legal person ID and Natural person ID]
Validation	Is the process performed by the buyer or its service provider when receiving invoices and having them confirmed / validated by the country-specific mandatory infrastructure in order to ensure that the buyer processes a legally valid fiscal document



2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Costa Rica, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance (MH) • The General Directorate of Taxation of the Ministry of Finance (DGT) (es. <i>Dirección General de Tributación</i>)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Law on General Sales Tax • Regulation of the Law of General Sales Tax • Code of Tax Rules and Procedures • Law N° 8454, 08/30/2005: About electronic certificates, signatures, and receipts. • DGT N° 22-07, 10/01/2007: authorizes the use of Electronic Invoice (First regulation on the use of technology for the issuance and reception of electronic documents with tax value) • DGT N° 02-09, 05/02/2009: Regulated technical aspects of the electronic invoicing regime. • DGT-R N° 019-2011 Additions and modifications to Resolution No. DGT-02-09. • DGT-R-48-2016 Regulated the first group of taxpayers obligated to implement the invoicing system. • DGT-R-12-2018 Established full mandatory implementation of the invoicing system (<i>comprobantes electrónicos</i>) • DGT-R-039-2018 That postponed the mandatory implementation of invoicing for certain group of taxpayers.

	• DGT-R-050-2018, 18/12/2018 Amended DGT-R-039-2018 on the mandatory implementation of the electronic invoicing system. • DGT-R-033-2019, 20/06/2019 General Resolution on the technical provisions of electronic vouchers for tax purposes. • DGT-DGH-R-60-2019 18/11/19: Procedure to apply for registration and obtain exemption or reduced rate of Value Added Tax. • N°41820-H 19/06/19: Reforms the regulations on electronic receipts for tax purposes ("<i>Reglamento de comprobantes electrónicos para efectos tributarios</i>") • N°42195-H 10/02/20 Reforms the regulations on electronic receipts for tax purposes ("<i>Reglamento de comprobantes electrónicos para efectos tributarios</i>") • Appendix V.4.3, 21/03/2020: On technical requirements. • RES-DGH-026-2022/RES-DGA-187-2022 Modified the interest rate applicable to fines imposed by the Ministry of Finance. • Executive Decree-43790-H-MEIC-S-2022 Changed the items included in the "basic tax basket" subject to reduced VAT fare of 1%
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3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Mandatory e-invoicing • Optional only for those taxpayers subject to simplified tax regime "<i>Régimen de tributación simplificado</i>"
Varying invoicing regimes¹	• Single invoicing regime
e-Invoicing model	• POST-CLEARANCE, where electronic invoices must be authorized with the tax authority, but may be distributed to taxpayers before obtaining the clearance response (acceptance or rejection) from the tax authority. • As Costa Rica is not a post-audit country, the outlined further in this report may deviate significantly from Pagero's General E-invoice Processing Description document, which covers primarily post-audit models
e-Invoice definition²	• Electronic document authorised by the MH
Scope of taxpayers the e-document mandate applies to	• Both domestic and export for all sellers (Costa Rica had a gradual roll-out of the mandate, which now is finalised). • All buyers (Costa Rica had a gradual roll-out of the mandate, which now is finalised)
Mandatory AoR (document response) process	• Mandatory by the receiving party
Implementation / roll-out plan	• N.a.

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



4. Before switching to e-invoices

4.1. IT³ registration

Registration procedures. Taxpayers must register at the time they start selling goods or providing services subject to VAT, either in person at the offices of the tax administration by filing form D-140 or online if the tax representative is a Costa Rican individual or has a tax identification number.

Once registered, taxpayers will have to post a banner “in visible area of the premises” containing a copy of the registration

Exemption from registration. The VAT law in Costa Rica does not contain any provision for exemption from registration for entities or individuals that make taxable supplies.

Non-established businesses. A “non-established business” is a business that has no fixed establishment in Costa Rica. In principle, a non-established business must register for VAT if it supplies goods or services in Costa Rica.

Tax representatives. At the moment of registering an entity as VAT taxpayer, a tax representative must be appointed. The tax representative must be the legal representative of the entity.

Small taxpayers. A simplified VAT regime applies to small taxpayers. The simplified regime applies to individuals who carry out a limited range of activities, such as small retail activities, including operating a grocery store or mini-market. To qualify as a small taxpayer, the entrepreneur’s annual purchases may not exceed 64.650 million CRC (appr. 111 USD), and the entrepreneur may not have more than five employees. Under the simplified regime, presumed taxable turnover is calculated by applying an estimated profitability factor that is determined based on the taxpayer’s business sector.

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

VAT number. In Costa Rica, there is no VAT number as such, instead values Legal person ID, Natural person ID, DIMEX or NITE as used depending on the type of the taxpayer. ID number search can be done at <https://www.hacienda.go.cr/ATV/frmConsultaSituTributaria.aspx>. For more information on these numbers, refer to section 1 Terminology.

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No accreditation requirements to become electronic taxpayer, only necessary to follow the following procedure: • Be registered in the Unique Tax Registry (Sp. <i>Registro Único Tributario</i>) • Have an e-mail • Register as a user and access the ATV portal by https://www.hacienda.go.cr/ATV/Login.aspx • Be registered as a taxpayer, which can be done at the ATV portal (“Electronic Invoice”) • Obtain a username and password at the ATV portal • Select the I&A method: e-signature, e-seal or cryptographic key • Once the taxpayer has registered, it will receive a Smart Virtual Card (Sp. <i>Tarjeta inteligente Virtual</i>), which includes additional security mechanism to be able to log into the ATV portal
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• No explicit requirements besides the registration with the ATV portal and that no taxpayer may reject receipt of an e-document • Share e-mail address to exchange invoices • Optionally, the trading parties can agree on how they want to exchange documents (instead of e-mail), as well as how they want to handle document content besides the mandatory elements
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• N.a.

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-

Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	Legal outsourcing not allowed, only technical
Whether statement of outsourced issuance is required on the invoice	Not explicitly required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	Not explicitly required (However Pagero strongly recommends)
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	Not explicitly required
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	- The taxpayer must fill out D-140 form indicating how they will be handling e-documents - At the ATV portal, the taxpayer has to declare how they will be handling e-documents among the following options: (1) Free solution (es. Solución gratuita), (2) – e-invoicing provider (es. Proveedor de FE), and (3) own solution (es. Medios propios) - When option 2 is selected, the taxpayer has to state the name of the service provider
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	- No explicit accreditation requirements for service providers - To operate on daily basis, the third party must comply with: - Be registered in the Unique Tax Registry - Ensure access to information allowing the download and archiving at the request of the tax authority - Register a valid email address - Keep a record of clients - Comply with all regulations related to “Comprobantes electrónicos”

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

The same requirements as outlines above under section 4.2 apply to the outsourcing of the e-invoice receipt function.



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	Local XML, currently version 4.3
Other document format(s) commonly used for exchange between trading parties	N.a.
Mandated platform(s) required to have connection with for e-document processing	- MH (Ministerio de Hacienda)/ Ministry of Finance - Data transmission is asynchronous. The Ministry of Finance has 3 hours to accept a document.
Other platform(s) relevant for e-document processing	N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	https://atv.hacienda.go.cr/ATV/ComprobanteElectronico/frmAnexosyEstructuras.aspx#

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	E-mail
Other technical aspects	N.a.

5.2. Communication with MH

Regulations in Costa Rica foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	API
Manual	ATV web portal
Other options	N.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

- 1) **The supplier** must generate an electronic file in XML following the document requirements containing the relevant tax information of the commercial transaction, which must be digitally signed to ensure I&A:
 - a. The supplier can choose whether to apply e-signature, e-seal or cryptographic key for this purpose. As well as either using the taxpayer's own certificate or using the certificate of a third-party.
 - b. The supplier is authorized to distribute the DTE with the buyer once the XML file has been sent to the tax authority, without having to wait for the clearance/authorization notification
- 2) **MH** will respond to the supplier within three (3) hours with a positive or negative clearance notification (es. *Mensaje Hacienda*).
 - a. If the document is rejected by MH, the supplier should ensure to solve the reason of the rejection and resend the document for re-processing with new numbering. Sending the document to MH which has been already rejected, with the same number, is not allowed.
- 3) **The supplier** – Once document has been cleared by MH, the supplier must send via e-mail (or other means agreed between the taxpayers) to the buyer both the

cleared document in XML, its PDF representation and the *Mensaje Hacienda*. There is no SLA on the buyer for when latest such document must be sent to the buyer.

- a. In Costa Rica, the graphic representation must be printed to accompany the goods during transportation (regular paper is sufficient).
- 4) **Purchase invoice** – same process as outlined about applies to the buyer, who purchased goods or services from taxpayers excluded from mandatory e-invoice issuance.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

An invoice issued by a local Costa Rican supplier for export of goods or services must comply with local requirements to successfully complete the invoice clearance process. Such Costa Rican invoice will often be used by the foreign buyer as a pro-forma invoice.

For this “Export invoice” document type with own XSD must be used, however, in all other respects, the issuance and clearance processes of the export invoices are exactly the same as for the domestic invoices. The Export invoice invoice has associated the code “09”.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

- 1) Automatically validating the received document against MH, alt.
- 2) Manually reviewing the received documents in the ATV portal of MH.

5.4.2. Cross-Border

In Costa Rica, there are no explicit regulations on import invoices. Such invoices are not required to be submitted to MH. The trading parties are allowed to exchange import invoices directly with each other in the way and form they have agreed.

5.5. AoR (response) process

The buyer⁴ is obliged to electronically accept or reject the received e-document, after the validation with the MH. The acceptance or rejection notification (AoR) must be issued in the same XML format as the received document.

The buyer can issue the following AoR:

- 1) Approval (complete) of electronic document
- 2) Approval (partial) of electronic document
 - a. The partial approval notification must specify what is approved and what is rejected, however, there are no predefined messages. The buyer can as well specify for what part of the invoice the buyer will pay
- 3) Rejection of electronic document
 - a. The buyer may state the reason for the rejection, however, it's optional.

The buyer must send the AoR both to the supplier and the MH:

- 1) **Supplier:** the buyer is obliged to send AoR both to the supplier (via e-mail) and MH (via API) in the XML format.
- 2) **MH:** AoR must be send to the MH latest on the eight's working day of the month following the date of the transaction.
 - a. If no AoR is sent to the MH within the outlined timeframe, the issued document will automatically be considered as approved.

The buyer is obliged to ensure I&A of the AoR with means of e-signature, e-seal or cryptographic key.

5.6. MH validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

MH validate structure, logic and computer conditions of each document.

MH will have a maximum period of **3 hours** to perform the validation and response with positive or negative notification (clearance notification) to the issuer. The clearance notification may have the following statuses:

- **Accepted:** If the document fulfils the required validations, in which case the document obtains the full tax validity.

⁴Also known as "emisor receptor electrónico", corresponds to those taxpayers that has the obligation to issue, send, confirm or reject the electronic receipts depending on the circumstances..

- **Accepted with remarks:** If the document complies with the established validations and therefore, already has tax validity, but there is data in the document that, due to an audit, could be remarked.
- **Rejected:** If the document fails to meet the established conditions and does not obtain the tax validity. Following rejection reasons are possible:
 - *La cantidad de firmas en el documento debe ser [1] y se recibieron [XX]* (quantity of signatures greater than 1)
 - *La firma del documento no es XAdES, se obtuvo [xxx]* (Not the correct signature)
 - *La firma del documento no tiene el Policy Id* (signature doesn't have policy ID)
 - *No se encontró la llave criptográfica con el número de serie [xx]* (crypto key with series not found)
 - *El certificado empleado se encuentra revocado* (employee certificate revoked)
 - *La firma del comprobante electrónico no es válida (verifique que este firmando el documento con la llave criptográfica correcta [STAGING o PRODUCCION])* (invalid signature – verify correct crypto key)
 - *La firma del comprobante electrónico no es válida (No se aporta el Policy dentro de la firma)* (invalid signature – no policy in signature)
 - *La firma del comprobante electrónico no es válida (No se encontró el certificado o está firmando el documento con la llave criptográfica incorrecta de acuerdo al ambiente: STAGING o PRODUCCION)* (invalid signature – certificate not found or incorrect crypto key for environment)
 - *La firma del comprobante electrónico no es válida (XML fue modificado luego de haber sido firmado).* (invalid signature – XML was modified after signing)
 - *La firma del comprobante electrónico no es válida (La referencia a los datos firmados no existe o es incorrecta).* (invalid signature – data referenced not found or incorrect)

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

The supplier is obliged to send to the buyer a graphic presentation of the document: either as PDF or in printed form. The usage of the QR code has currently been postponed in Costa Rica, so that only the numeric key of the document approved by HM is sufficient to be placed on the presentation.

There is no need to mark-up such or any other version of the document as “copy”, as only the XML document residing within MH is considered as the document valid for tax purposes.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

According to the Costa Rican regulations, the documents must be exchanged between the trading parties in one of the following ways:

- Via the e-mail, including both the document in XML and the PDF presentation, or
- Other means agreed between the taxpayers, including both the document in XML and the PDF presentation.

The supplier must, however, always state the e-mail address of the buyer in the document, so that it can be correctly routed and/or fetched via ATV portal.

Irrespective of the above, a printed version of the document: invoice or despatch advise always must be attached to the goods transported. This is not required for services.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

If the supplier has to modify the original document, a credit or debit note and a new e-invoice are required.

In Costa Rica, it is only possible to modify the accounting effects of electronic invoices, but it is not possible to null the document directly. This means that the original invoice remains unalterable and cannot be used again nor transmitted to the MH. Therefore, a new invoice with a new invoice number and doing reference to the other document is a must.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note • Debit note
What are the options to correct an invoice if the customer returns the goods	• Credit note from the supplier
What are the options to correct an invoice if the customer paid too much	• In case that the customer paid too much , the supplier will have to issue a credit note.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note

What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Credit note
Other scenarios with different correction option	• No
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No

5.10. Coexistence of paper and electronic invoices

In Costa Rica, there is nothing prohibiting the trading parties from exchanging printed representation of the tax valid documents. This is, however, uncommon.

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Not allowed
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Not allowed
Whether any conditions apply, and which, to the dematerialisation	• N.a
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Not allowed
Whether any conditions apply, and which, to the materialisation	• N.a

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

MH differentiates between two contingency scenarios

- 1) Contingency due to issues beyond taxpayer's control
- 2) No internet access

3) Connection with MH out of service

In the first scenario, the supplier is allowed to issue invoices directly to the buyer, this can be done as well on plain paper (Sp. *Comprobante Provisional* - Provisional Invoice). If the taxpayer chooses to use provisional invoices, these must come from a vendor duly authorized by the tax authority. Once the contingency ceased, the supplier must report the Provisional invoices issued during the contingency time to MH using the code 2 concerning "Status of the e-document – Sp. *Situación del comprobante electrónico*"⁵, **within two days**. The invoice substituting the provisional invoice should also have a reference code (Sp. *Código de referencia*) 05: "substituting provisional invoice for contingency – Sp. *Sustituye comprobante provisional por contingencia*" and the type of document of reference (Sp. *Tipo de documento de referencia*) should be 08: "E-document issued in contingency – Sp. *Comprobante emitido en contingencia*".

In the second scenario, if it is not possible for the taxpayer to forward the generated XML file to the MH due to internet access problems, the taxpayer must send this XML **no later than 2 days**. The status of the e-document code to use is number 3.

For the third scenario, if MH is out of service, the e-documents must be stored and sent to MH as soon as the connection gets re-established.

⁵ Status of the e-document is part of the UUID, also known as *Clave*. See section 6.2 for more information.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Electronic invoice [B2B] (Sp. <i>01 Factura electrónica</i>) • Electronic debit note (Sp. <i>02 Nota de Debito</i>) • Electronic credit note (Sp. <i>03 Nota de Crédito</i>) • Electronic receipt [B2C] (Sp. <i>04 Tiquete Electrónico</i>) • Electronic export invoice (Sp. <i>09 Factura electrónica de exportación</i>)
Documents mandatory for issuance by buyer	• Acceptance (complete) of electronic document (Sp. <i>05 Confirmación de aceptación del comprobante electrónico</i>) • Acceptance (partial) of electronic document (Sp. <i>06 Confirmación de aceptación parcial del comprobante electrónico</i>) • Rejection of electronic document (Sp. <i>07 Confirmación de rechazo del comprobante electrónico</i>) • Electronic purchase invoice (Sp. <i>08 Factura electrónica de compras</i>)

Item	Commentary
Self-billing allowed	• No information currently available
Simplified invoice allowed	• No information currently available

6.2. Document numbering

Each document should have a unique *Clave*, which can be seen as a UUID. The *Clave* should include the consecutive number (es. *numero consecutivo*) of the e-document.

The structure of **Clave** (50 characters) is: 3-country code, 6-issue date, 12-NIT o DIMEX, 20-consecutive number, 1-status of the e-document, 8-security code.

The structure of the **consecutive number** (20 characters) is: 3-casa matriz, 5-establecimiento o terminal, 2-tipo de comprobante, 10-numeracion de CE

6.3. Indirect tax (IT)⁶ rates

This section illustrates the applied IT⁷ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
13%	Standard	The standard rate applies to the supply of all goods and to taxable services, unless a specific measure provides for an exemption
4%	Reduced	Air tickets and private health care centers
2%	Reduced	Medicines and goods required for their production, private education, insurances contracts (life and personal damage only), goods purchased by higher education institutions
1%	Reduced	The import of products of the "basic food basket"; sales of products included in the basic food basket; veterinary products and imports of agricultural products; the import or local purchase of certain raw materials (soybeans, corn, wheat, etc.); fishing equipment (only industrial)
0,5%	Reduced	Sale of organic agricultural or agro-industrial products (registered and certified), as well as the goods required for their production.
	Exempt	Exports of goods and related operations; sales made in free trade zones; interest and commissions derived from credits; guarantees granted by financial entities; life pensions administrated by operators; referred to public entities, international organizations and non-profit legal entities; certain goods and services (prostheses, orthoses, wheelchairs, etc.); referred to leases (of real estate intended for non-holiday use, and with certain limits); monthly domestic consumption of electricity, provided that it does not exceed 250 kilowatts/hr, and residential water supply, etc. (see art.9 VAT Law); fees and tuition fees offered by public universities; books, etc.

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Costa Rica. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• Yes
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No. Invoice may be issued in any language, however, if required by the Tax

⁶ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁷ Local name: Impuesto del valor Agregado (IVA)

	administration, a translation into Spanish must be provided
Sequential numbering	• Yes, see section 6.2 above
Required to mention copy or duplicate in case a copy is issued	• No
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• No information is currently available
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• No information is currently available
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply
IT identification number of the supplier in the country of establishment	• No information is currently available
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Where relevant
Legal form of the supplier	• No
Trade register number of the supplier	• No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• No information is currently available
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• No information is currently available
Address of the customer in country of establishment	• No
Bill-to address when it is different from the registered address of the customer	• No

Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	No information is currently available
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	Where relevant. Legal person ID, Natural person ID, DIMEX or NITE
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	No information is currently available
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	No information is currently available
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	Where relevant
Other customer data	No

Transaction data	
Date of issue	Yes, including time
Date of supply (chargeable event)	Not required
Date of prepayment	No
Description of the goods/services	Yes
Quantity of the goods supplied or the extent of the services supplied	Yes
Purchase order number	No information currently available
Shipped from location (for the supply of goods)	No information currently available
Shipped to location (for the supply of goods)	No information currently available
Status of the goods (e.g. in bond, in free circulation)	No information currently available
Incoterms	No information currently available
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	No information currently available

Financial data	
Taxable base per item (unit price excl. IT)	Yes
Total taxable base per IT rate or exemption	Yes
IT rate applied	Yes

Total IT amount calculated per rate	• Yes. Incl. indication "Sales Tax" or "VAT"
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• In general yes. However, invoices may be issued in US dollars (USD) if the amount in colons is also stated.
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• N.a.
Exchange rate (if the invoice is not issued in the local currency)	• The applicable exchange rate is the exchange rate on the date of issuance of the invoice, as established by the Costa Rican Central Bank
Which exchange rate must be applied in order of priority	• N.a.
Terms of payment	• Yes. • Credit card, cash, check, bank transfer, collected by third party, etc. • Conditions of sale: cash, credit, consignment, lease with purchase option, etc
IBAN and BIC number of supplier	• No information currently available

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• No information currently available
List the required references in case of exemption or reverse charge	• No information currently available
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT	• No information currently available

Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• No information currently available
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• N.a.
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No information currently available
Specific references required in case invoicing is outsourced	• No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No information currently available
Other specific requirements/references to be mentioned on an invoice	• No

The detailed content requirements to all document types (i.a. invoice, debit/credit note receipt) can be found:

https://atv.hacienda.go.cr/ATV/ComprobanteElectronico/docs/esquemas/2016/v4.3/ANEXOS%20Y%20ESTRUCTURAS_V4.3.pdf

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• N.a.
Maximum amount for simplified invoices	• N.a.
Other supplies for which a simplified invoice can be issued	• N.a.
Simplified invoices limited to certain type of supplies	• N.a.

Simplified invoices not allowed for certain transactions	• N.a.
Minimum content requirements on a simplified invoice	• N.a.
Invoices subject to the national invoice requirements (not self-bills)	• N.a.
(other) Invoices subject to the national invoice requirements (not self-bills)	• N.a.

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Costa Rica, a credit note must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• No information currently available
Reference to original invoice required on a credit note	• Yes
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No information currently available
Reason for credit required	• No information currently available

Sequential numbering	
Separate sequential credit note numbering required	• No information currently available
Allowed to issue one credit note to correct different invoices	• No information currently available

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

Provision of any additional content in the mandatory XML is not regulated. There are only two additional elements Other texts and Other content that can be used for the provision of additional information. The content of these fields is not structured.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• E-signature • E-seal • Cryptographic Key	• E-signature • E-seal • Cryptographic Key
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Any one of the methods above • The taxpayer must declare the authorised representative in the TVA	• Any one of the methods above • The taxpayer must declare the authorised representative in the TVA

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• E-signature or e-seal with digital certificate issued by the Ministry of Finance of Costa Rica

	• Cryptographic Key is issued by the Ministry of Finance of Costa Rica and obtained by entering the “Generate production cryptographic key” function in the “Electronic Vouchers” menu of the ATV portal • Any of the two before can be used. It’s not possible to used both at the same time for a single XML file.
Automated e-signing	• Allowed
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• Not required
Time-stamping of validation data	• Not required



8. Document retention

This section describes archiving requirements regarding the e-invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Issued and received e-documents with e-signature • Clearance notifications from MH (es. <i>Mensaje de Hacienda</i>) • AoR notifications • The electronic documents canceled or that are without effect, must also be stored
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Yes
Legibility requirements	• Information must be legible for common people.
Retention period for invoices not related to immovable property⁸	• 5 years
Start point of retention period calculation for invoices not related to immovable property	• From 1 January following the date of the issuance
Retention period for e- invoices related to immovable property	• N.a.
Start point of retention period calculation for invoices related to immovable property	• N.a.

⁸ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Retention period for other than regular invoices or invoices related to immovable property (if existing):	• N.a.
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a.
Outsourced archiving	• Allowed
Archiving abroad⁹ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Not regulated
Other requirements in relation to electronic document retention	• E-documents must be archived in an indelible electronic support. The physical facilities where the e-documents are archived must be able to guarantee integrity and authenticity of the information. The documents should be protected against damages, loss of data, destruction, and alteration of the information. • Regular evaluation plans of the efficiency of the controls of the archiving system and facility are required

⁹ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• Yes, see section 10.1 further
Transportation documents	• No explicit requirements
Other	• N.a.



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. VAT returns

The VAT returns are submitted monthly. Returns must be submitted by the 15th day of the month following the end of the return period. A return must be filed even if no VAT is due for the period.

Small taxpayers. VAT returns for small taxpayers must be submitted quarterly by the 15th day of the month following the end of the return period. The relevant months are October, January, April and July. The return must be filed even if no VAT is due for the period.

Electronic filing and archiving. The VAT returns must be filed online at <https://www.hacienda.go.cr/ATV/Login.aspx> . Filing requires a Tax ID issued by the tax authorities. Archiving tax returns may also be done electronically.

10.2. Penalties

The electronic invoicing regulation in Costa Rica contemplates the following tax violations for not complying with the established procedures on electronic invoicing

- Those taxpayers or representatives who do not issue the invoices or vouchers required by the tax administration or do not deliver them to the client (within the act of purchase), will be sanctioned with a fine equivalent to two base salaries (1450 euros approx.).
 - The administration will have the power to order the closing of the business for five calendar days in case of recidivism of the previous point. Recidivism means committing the same error a second time.

- In case of failure to submit the XML file to the tax authority, whether this is a total or partial non-compliance, a penalty of two percent (2%) of the gross income figure of the offending party, in the profit tax period prior to that in which the infraction occurred, with a minimum of three (3) and a maximum of one hundred (100) base salaries (between 2200 and 73800 euros approx.), will be applied.



11. Country-specific processing

This section outlines how the Pagero General e-Invoicing process has been adapted to the local requirements to ensure compliant local processing.

In Costa Rica, Pagero uses the services of our strategic partner "Signature South Consulting Costa Rica S.A."

11.1. Document issuance (AR) with Pagero



- 1) Supplier provides data in supplier preferred format to Pagero
- 2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- 3) PAGERO sends the e-document to the Ministry of Finance in a mandatory format according to a mandatory exchange protocol
- 4) PAGERO receives Clearance Notification (approved / rejected) from MH in a mandatory format
- 5) PAGERO sends the Clearance Notification to the supplier in supplier format

- 6) PAGERO distributes the cleared e-document to the receiving service provider RSP/buyer
- 7) RSP/buyer sends the receipt of notification (receipt acknowledgement, approval or rejection) in the mandatory format
- 8) Pagero sends the buyer notification to the supplier on its preferred format
- 9) PAGERO archives all relevant document on behalf of the buyer

11.2. Document reception (AP) with Pagero



- 1) SSP/supplier sends the cleared e-document to PAGERO
- 2) PAGERO sends acknowledgment of receipt to the SSP/supplier
- 3) PAGERO submits the received e-document for validation to Ministry of Finance
- 4) PAGERO receives Clearance confirmation or mismatch from Ministry of Finance
- 5) PAGERO performs data content validation, enrichment and conversion, document format conversion, etc.
- 6) PAGERO sends the validated e-document and other relevant artefacts to the buyer in buyer format
- 7) Buyer sends receipt of notification (approval or rejection) to PAGERO in buyer format
- 8) PAGERO converts the buyer notification to the mandatory format and sends it to Ministry of Finance and the supplier
- 9) PAGERO archives all relevant document on behalf of the buyer



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
2019-10-23	Document created
2021-10-25	Document content moved to a new template
2023-01-10	Updated Section 5, section 8, added section 10.2